Credit Portfolio Risk & Pricing Review

Executive summary · Consumer credit book · illustrative data (UCI, NT$)

Headline

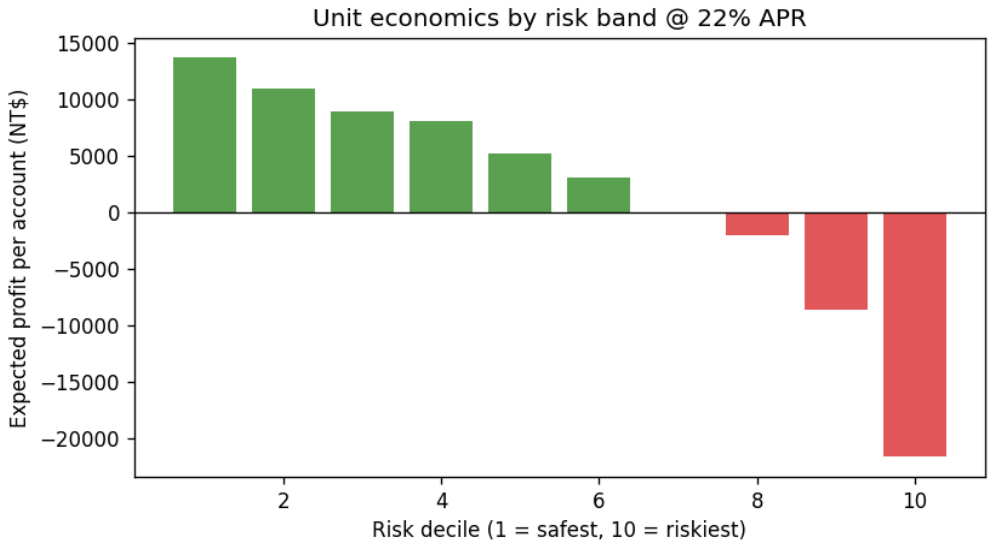
The book carries a **22.1% default rate** with risk highly concentrated. The riskiest **40% of accounts** are unprofitable at the current 22% APR. Declining or repricing them lifts modeled portfolio profit **+184%** (NT$52.7M → NT$149.6M).

What the data says

1. **Delinquency history is the dominant signal** — current accounts default 11.7%, 3+ months late 62.9%.
2. **Low-limit, maxed-out accounts are the loss center** — sub-50k tier defaults 31.8% vs 13.3% for 300k+.
3. **Behavioral scorecard ranks risk well** — XGBoost AUC 0.767, KS 0.41, on non-protected features only.

Customer segments

Segment	Share	Default	Profit / acct	Action
Prime (high limit, low util)	19%	10%	+9,963	Grow / upsell
Revolvers (carry balance)	36%	17%	+4,997	Core — protect
Transactors (pay in full)	27%	17%	+146	Monetize fees
Distressed (high default)	17%	55%	-14,153	Reprice / exit

Recommendation

- **Reprice or decline the bottom 4 risk deciles** (break-even APR > 22%) → +184% modeled profit.
- **Grow Prime, protect Revolvers** — 55% of accounts, all profit-positive.
- **No underwriting on sex, marital status, or age** (ECOA/Reg B) — model is fair-lending compliant.